

Fix the claims first, then run the motion

DeepGrid Semi · commercial lead briefing · rebuilt after independent verification contradicted the previous version



Oct 2027, not Oct 2026

9 claims to retire

72% kit only

sell by function

You have 18 months more runway than assumed — and less to say than assumed

Executive summary

BLUF

The ADAS perception mandate lands 1 Oct 2027, not Oct 2026 — GSR 184(E) was a draft. That buys time, and time is what the claim set needs: nine statements currently in circulation fail on first technical contact. Fix those before anyone carries this into a buyer meeting.

What changed

The notified rule is G.S.R. 834(E), Nov 2025. AEBS binds 1 Jan 2027 (new) and 1 Oct 2027 (all); perception functions 1 Oct 2027 and 1 Jan 2028. The compliance wall is later — so is the revenue.

What survives

Indigenous supply and sovereign-data eligibility. A real kit-level margin of 72%. Certified AEBS + DMS as a *function* the ₹30k box cannot deliver. Procurement access already demonstrated on GeM.

What does not

“39.3 TOPS measured”, “84%” and “88% blended” margins, “12.9× cheaper”, “₹1 Cr defence revenue”, and transformer-VLA-on-chip. Each is disprovable by a competent evaluator in one meeting.

The sequence is not negotiable: retire the nine claims, then sell Track A on eligibility, then validate Track B against the 2027 clock.

Nine claims to retire before anyone sells

Each is disprovable from public sources or DeepGrid's own documents

Claim in circulation	Why it fails	Source
"39.3 TOPS measured on FPGA"	Artix-7 board ceilings ~1.8 TOPS — 22× short. The IM correctly calls 39.3 a derivation	Academic
"84% ASIC gross margin"	Already retracted by the July Corrections Ledger	July deck
"88% blended systems margin"	Needs 120% margin on all non-kit revenue. Impossible	Skeptic
"12.9× cheaper than Mobileye"	Compares their ASP to our die cost. Loaded, it is ~2.3×	Economist
"₹1 Cr defence revenue"	₹23.01L delivered; rest is L1. Different entity; IP MCEME-owned	BP-1A §9
Transformer VLA runs on-chip	Bandwidth-bound: ~68 ms to stream weights vs a 33.3 ms budget	Academic
"Mandate live since April 2026"	GSR 184(E) was a draft. Real rule G.S.R. 834(E), Nov 2025	Gazette
"ASIL-D path"	No functional-safety line item; ISO 26262 pre-audit is on the stop-doing list	Academic
Any insurance or accident-reduction %	No actuarial partner, no measured baseline	July deck

The June IM contains six of these nine. Withdraw it from circulation today — it is the most polished document you have and the least defensible.

SECTION 01

The real demand clock

When the buyer is actually compelled to act

The perception mandate binds 1 October 2027, not October 2026

G.S.R. 834(E) of 11 Nov 2025, amended by 862(E) — verified against the gazette

Instrument / system	First date	Full application	From today
G.S.R. 184(E)	20 Mar 2025	DRAFT for comment — not law	Superseded
G.S.R. 834(E)	11 Nov 2025	CMV Sixth Amendment Rules 2025 — the notified rule	In force
AEBS (AIS-162), stability, braking	1 Jan 2027 new	1 Oct 2027 all models	17 months
LDWS, DDAWS, BSIS, MOIS (rule 125Q)	1 Oct 2027 new	1 Jan 2028 existing	26 months

What this changes

Version one of this deck said October 2026 and treated it as eight weeks away. That came from vendor blogs which dropped the word “draft”. Five of them agreed, which looked like corroboration and was correlated error from one upstream source. The real first wall is 17 months out.

The commercial read

More runway, later revenue. Certification and tapeout now have room to land before the wall — which removes the panic case. But Track B’s “deadline is coming” pitch does not bite in 2026, and any FY27 revenue must come from buyers who are not waiting for the rule.

VERIFIED

Gazette text checked directly; corroborated by TOI 5-Nov-2025 and Gadkari’s Lok Sabha reply, 12-Feb-2026

India's own precedent says the box loses and the relationship wins

AIS-140 is the closest domestic analogue — and it is not encouraging for hardware

Enforcement took ~8 years

Notified 2018, phased 2019, legacy registrations only caught in Oct 2025, rules still moving in 2026 — gated on state backend readiness, not on suppliers. Assume the same slippage risk on 2027–28 dates.

Prices never consolidated

Devices still sell at ₹3,500–12,000 with 3–4× spreads and no market concentration. Nobody built a hardware franchise. A mandate caps willingness to pay at the cost of non-compliance, not the value of safety.

Value went to the recurring layer

Whoever held the compliance relationship won — Vahan linkage, SIM, certificate renewal, uptime SLA. Not the box, and certainly not the chip inside it.

The strategic implication for DeepGrid

If value migrates to the recurring compliance layer again, then the durable position is not the ₹2.3L kit — it is owning certificate renewal, uptime reporting and the data relationship that sits on top of it. That is also the only asset an incumbent with a cheaper regional SKU cannot take away. Build the recurring layer into the first contracts, not into a later phase.

SECTION 02

What you can actually claim

The evidence that survived verification

What you can put in front of a buyer today

Corrected proof kit — state the evidence level, never the aspiration

Asset	State	How to use it
GeM record + procurement access	CONTRACTED	Real, and the strongest Track A asset
₹23.01L delivered — Robot Training	CONTRACTED	In Deepgrid Datacentre, not Semi. IP MCEME-owned
₹78.39L Robotics Assistant	L1 ONLY	Lowest bidder, not an award. Never call it revenue
YOLOv11n at 40fps on FPGA	MEASURED	A real measured number — quote this, not 39.3 TOPS
24.25 ms attention head	MEASURED	The honest perception-latency datapoint
DGS001 module running on FPGA	SILICON	Live demo. Artix-7 class — do not imply ASIC performance
15 provisional patents, Mar 2026	FILED	Filed, not granted. Say filed
Carla-validated D-Drive loop	SIMULATION	Not road-validated. Say simulation
AIS-162/188 certification	NOT HELD	A path via NATRAX. Never imply otherwise
28nm ASIC silicon	ROADMAP	MPW shuttle. Cannot be AEC-Q100 qualified as-is
Power / thermal envelope	NOT STATED	Appears in no document. Expect this question

The highlighted rows carry Track A. Everything below “SILICON” is a question you will be asked, not a claim you can make.

Quote 72% at kit level, and no blended figure at all

72% and 88% cannot both be true — the arithmetic is one line

Reconstructing FY2032 from the plan's own segment revenues

Step	Value
FY32 revenue	₹1,387.95 Cr
Gross profit implied by 88.4% blended	₹1,226.95 Cr
ADAS kit at BP-1A's stated 72%	₹657.83 Cr
Revenue left across all other lines	₹474.30 Cr
Gross profit still required from it	₹569.12 Cr
Margin that implies	120.0% — impossible

VERIFIED

Recomputed from BP-1A §8 segment revenues

What to say instead

A blend cannot exceed its best component. 88.4% requires ~89% on the truck kit — the exact figure BP-1A retracted.

Hold the kit at 72% and the honest blend is 77.2%. The gap is ₹156 Cr of gross profit.

So the Corrections Ledger replaced one unsupportable number with another. Both must go.

Approved line: “72% kit-level gross margin at ASIC phase, per our own unit economics. We do not publish a blended figure.”

The advantage is ~2.3×, and it is not really a cost advantage

The cost story rebuilt on the plan's own volumes

Line	Value	Note
Die cost quoted	\$3.876	But that quote is at 1,000,000 units
Plan's peak-year volume	72,000 units	18,000 AD2 kits + 54,000 AD0 mirrors
NRE loaded over break-even volume	≈ \$18/die	\$3.17M over ~175,000 cumulative chips
Effective loaded die cost	≈ \$22	vs Mobileye's \$50 reference
Real advantage	≈ 2.3×	Not the 12.9× on the current slides

The 12.9× figure compares Mobileye's selling price to DeepGrid's die cost — the same category error that got 774× retracted.

The moat is stated backwards

Incumbents amortise NRE across tens of millions of units, so their marginal cost sits *below* the loaded cost here. “They cannot follow us down” is false.

What DeepGrid actually owns is cannibalisation immunity — no global ASP to defend. That is why the incumbent response is a stripped regional SKU, not a price cut.

Approved line: “we have no legacy ASP to protect, so we can price an India-specific product at a level a global vendor will not.” True, defensible, and it survives a cost audit.

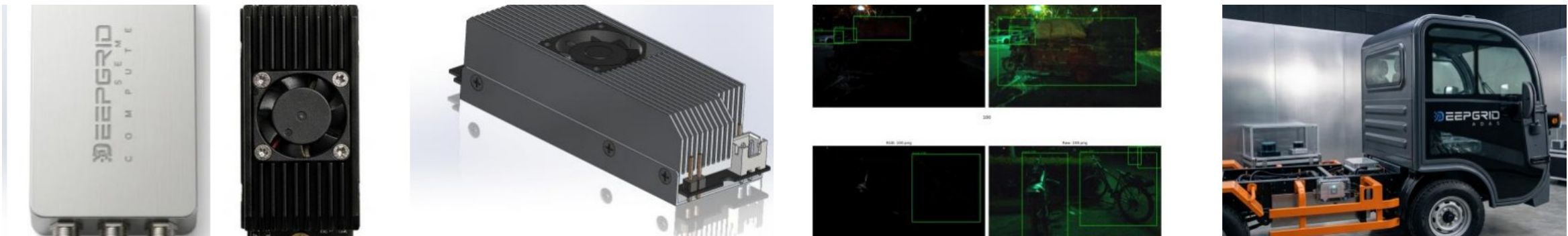
SECTION 03

Who to sell to

Two tracks, and what each can actually prove

Sell a certified function, not a chip and not a bundle

The single most useful pricing change in this deck



Function	What it is	Why it prices	Action
Certified AEBS (AIS-162)	Radar + brake actuation + proving-ground homologation	A ₹30k camera box cannot do this	PRICE IT
Driver monitoring (DMS)	In-cabin perception, AIS-184 addressable	Hard to fake; fleet-relevant	PRICE IT
LDW / BSD / warnings	Warning-only functions	Exactly what the cheap box approximates	RIDE FREE

Quote certified AEBS and DMS by function and let the warnings ride free. Sell the bundle and the buyer compares your ₹2.3L to a ₹30,000 box on the box's terms — a comparison you lose on their ground.

Two segments to work now; the rest wait on things you do not hold

Prioritised by what each buyer requires you to already have

Segment	Why it is addressable	What it requires you to hold	Priority
Government / PSU / defence	Foreign silicon excluded; GeM access proven	Eligibility, not certification	NOW
Plant and yard operators	Private land — no homologation gate at all	A working demo and a site reference	NOW
Large organised fleets (50+)	Real safety P&L and a single decision-maker	Certified AEBS — not held until 2027	VALIDATE
OEM / Tier-1 line-fit	One relationship covers thousands of vehicles	Homologation + a relationship you do not have	START, CLOSES LATE
3PL / freight aggregators	Aggregate small operators into one contract	Price leverage you cannot yet absorb	LATER
Sub-five-truck operators	~3.5M operators, no purchasing process	A cheaper SKU that does not exist	NOT ADDRESSABLE

The two highlighted rows are the only segments needing nothing you do not already have. Everything else is gated on certification, an OEM relationship, or a product that has not been specified.

Track A — real eligibility, but no programme identified yet

Primary track · the gap is pipeline, not proposition

POSITIONING STATEMENT

“For sovereign UGV, border-surveillance and port-AGV programmes where data cannot leave Indian soil, DGrid Alpha is an Indian-designed combo-die whose on-die HSM makes data exfiltration physically impossible — running today on FPGA.”



What is genuinely strong

Procurement eligibility is real and demonstrated on GeM. On-die HSM is a physical property, not a policy promise. Private-land and defence deployments need no AIS certification, so the 2027 clock does not gate this track.

What is missing — and it is the binding constraint

No defence champion is identified in any document, and no systems-integrator partner exists for ports. Real UGV procurement runs QR → RFI → RFP → seasonal field trials → CNC, which is multi-year, not multi-quarter.

Revised kill criterion

The original — a second signed contract by Month 6 — is not reachable through a genuine defence cycle. Replace with: a ****named programme and a named SI partner**** identified by Month 3, or Track A is a services business, not a silicon one.

Track B — the deadline pitch does not work until 2027

Secondary track · re-scope it as certification-led, not deadline-led

POSITIONING STATEMENT · PENDING CERTIFICATION

“For N2/N3 fleet operators preparing for the 1 Oct 2027 AEBS requirement, DeepGrid is building an India-certified AEBS + DMS system at a fraction of imported cost — seeking design partners for 2026 pilots.”



Why the old statement fails now

It sold urgency against a 2026 deadline that does not exist, and “roughly 1/3 the imported price” invites the ₹30,000 comparison. Neither survives contact with a buyer who has read the actual rule.

What replaces it

Design-partner framing, not vendor framing. You are not selling compliance in 2026 — you are recruiting fleets who want influence over a product that must be certified for them by 2027.

Revised kill criterion

Not “one paid pilot in 90 days” — a pilot at ₹1.27L FPGA COGS is contribution-negative anyway. Instead: ****two design partners who commit fleet access and a measurement baseline**** by Month 4.

SECTION 04

Competition and channel

Who else is moving, and what the channel costs

The nearest Indian peer is ahead of where your deck places them

Corrected — and the caveat matters as much as the correction

Dimension	What the deck says	What is verified	Read
Capital	July deck: ₹125 Cr	Verified: ₹107 Cr Series A, Jul 2025, Zoho-led	Deck overstates
Timing	July deck: “ships mid-2027, a year behind us”	Verified: production-ready declared May 2026, 3 OEM trials live	~12 months wrong, wrong direction
Maturity	Not assessed	EE Times: EVK / engineering samples, pre-revenue, full mask mid-2027	Less advanced than the headline
Product fit	Mapped as an ADAS peer	A2000 is a 12 TOPS edge-AI SoC on 12nm for video analytics	Adjacent, not equivalent

What it actually threatens

Not a price war — a design-in race lost on timing, in exactly the months 12–18 certification window. With 4–7× more free capital, they can fund qualification cycles DeepGrid would have to choose between.

What it does not threaten

The A2000 has no AIS certification, no AEC-Q100, and no ISO 26262 claim. It is a video-analytics SoC with automotive as one target sector. In a sovereign-data or certified-AEBS conversation it is not a substitute.

The channel is unaffordable before the tapeout

Dealer and insurer economics, modelled on the plan's own numbers

Line	Value	Consequence
Dealer margin, ASIC phase	20% cut leaves ~52% GM	Workable
Dealer margin, FPGA phase	20% cut collapses GM 45% → 25%	Opex-covering volume rises 400–600 → ~690–1,030 kits
FY27 plan volume	130 kits	Roughly 5–8× short of that break-even
Dealer working capital	~₹37,000 carry on ten kits	≈80% of one unit's margin — unaddressed
Insurer subsidy that actually works	20–30%, not 50%	₹40,000–70,000 → kit at ₹1.6–1.9L

Do not recruit dealers yet

At FPGA-phase economics a 20% dealer cut makes the unit uneconomic, and the plan's FY27 volume is far below the volume that cut would require. Sell direct through 2026–27 and build the channel when ASIC economics arrive.

The insurer contradiction to resolve

BP-1A makes insurer co-funding a primary engine; the July deck bans insurer selling outright. Both cannot stand. And at a workable 20–30% the subsidy is a margin instrument — it does not bridge to the ₹30,000 anchor as BP-1A assumes.

SECTION 05

The next 90 days

Sequenced against a 2027 wall, not a 2026 one

The next 90 days

Claim remediation first — it gates everything else

#	Action	When	Why
1	Withdraw the June IM; retire the nine claims across all collateral	Week 1	Six of nine live in that document
2	Publish an approved-claims one-pager for anyone client-facing	Week 2	Nobody sells until this exists
3	Name a defence programme and an SI partner for ports	Weeks 1–12	Track A's binding constraint
4	Recruit two fleet design partners (access + baseline)	Weeks 2–16	Replaces the paid-pilot test
5	Publish a power / thermal envelope	Weeks 2–6	First question any integrator asks
6	Decide the insurer question — engine or excluded	Week 4	The two documents contradict each other
7	Re-price by function: AEBS + DMS carry, warnings ride free	Weeks 3–8	Removes the ₹30k comparison
8	Reconcile die area (57.1 vs 20 mm ²) and reissue the cost build	Weeks 4–10	The \$3.876 rests on the smaller figure

Items 1 and 2 gate everything below them. No client-facing activity until the approved-claims sheet exists.

What would change this strategy

Triggers, and what each one means

Trigger	What it means	Note
No named defence programme by Month 3	Track A is services, not silicon	Revised — the original Month-6 test was unreachable
No two design partners by Month 4	Track B has no 2027 path	Replaces the paid-pilot criterion
AIS certification slips past mid-2027	You miss the wall you now have time for	The 18-month gift is spent
Netrasemi announces a certified automotive part	The differentiated position closes	Watch quarterly
Enforcement slips as AIS-140 did	Revenue moves right again — plan for it	8-year precedent, same ministry

The one-line summary

You have until late 2027, not late 2026 — and the binding constraint is not time or product, it is that the current claim set cannot survive a technical buyer. Retire the nine claims, sell Track A on eligibility while naming a real programme, and recruit fleet design partners against the 2027 rule rather than a deadline that does not exist.